Practice Quiz: Organizational Systems — Module 04: Cognition

Name: ___ ***Date**:* ___

Part A: Multiple Choice

1. An organization's **generative model** is:

A) Its product development process B) The collective set of beliefs about how the environment works, from which predictions flow C) The CEO's personal worldview D) Its machine learning algorithms

1. **Sensemaking** in Active Inference terms is:

A) Making the annual budget B) The process of interpreting ambiguous signals and updating organizational beliefs (posterior inference) C) Filing customer complaints D) Attending industry conferences

1. **Priors** in organizational cognition are:

A) Previous employees B) Strategic assumptions held before new evidence arrives, which shape how new information is interpreted C) Annual reports D) Past quarterly earnings

1. Nokia's failure to respond to the iPhone illustrates:

A) Insufficient R&D budget B) A generative model so strong (phones = hardware) that disconfirming evidence was reinterpreted rather than triggering model update C) Poor marketing D) Excessive innovation

1. **Double-loop learning** (Argyris) occurs when:

A) The organization increases efficiency by 2x B) The organization questions and revises the framework itself, not just actions within the framework C) Two departments learn the same lesson D) The CEO reviews the strategy twice

1. Which cognitive pathology involves continuing investment in a failing project due to past spending?

A) Groupthink B) Anchoring C) The sunk cost trap D) Confirmation bias

1. An **assumption audit** is:

A) A financial review B) A structured process for surfacing, categorizing, and testing the implicit beliefs that drive strategy C) An employee performance review D) A compliance check

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Part B: Short Analysis

1. Your organization has believed for years that "premium pricing is justified because customers value quality." Recent market data shows increasing price sensitivity. The marketing team dismisses this as "temporary." The sales team is alarmed. Using Active Inference, diagnose what is happening: What is the prior? What is the prediction error? Why is the organization resisting updating? Propose an assumption audit process.

2. A company's quarterly review consistently shows strong performance by traditional metrics (revenue, margin). But employees report a growing sense that "something is off" — they feel the company is losing relevance. Compare these two sensing channels (quantitative metrics vs. qualitative employee sentiment). Which should have higher precision? How would you design a cognition system that integrates both?

3. You are advising a 50-year-old manufacturing firm that has never questioned its core business model. The CEO has asked you to lead a "strategic belief audit." Design a 3-step process: (a) eliciting the firm's implicit assumptions, (b) stress-testing them against current market realities, (c) recommending which assumptions to update and which to preserve.